

The Social Radars

Founder Mode: Garry Tan, President & CEO, Y Combinator **Released August 22, 2025**

Jessica: We're here today with Garry Tan, the president of Y Combinator, sitting down at the YC
[\(00:00:00\)](#) Founder Mode Retreat.

Carolynn: Welcome, Garry. Hi,
[\(00:00:09\)](#)

Garry: Garry. Hey.
[\(00:00:10\)](#)

Jessica: It was such a great conference.
[\(00:00:11\)](#)

Garry: It was super fun.
[\(00:00:13\)](#)

Jessica: It was just amazing. Right now, I wanna talk about Founder Mode because I was talking
[\(00:00:14\)](#) to founders this morning at breakfast, and they really felt like Brian's talk last night resonated with them. And it's just so crazy that he sort of unlocked this concept that a lot of people have been silently grappling with. Like, am I am I a bad leader because, you know, people are pushing back on me and not wanting me to talk to their teams? It it's just such an interesting concept, and I think we gotta do more to talk about it openly.

Garry: Yeah. Especially right now. I mean, a year later, the AI boom has continued to be crazier
[\(00:00:46\)](#) and crazier. Yeah. And embedded in that is this idea that maybe you don't need, you know, eight layers or, you know, 10 layers of people.

You know, a lot more you can do just by using AI agents, and that's certainly what we're seeing in the startups right now. These are companies, probably a dozen of them, that came to this conference the past couple days got to, you know, tens of millions of dollars in revenue, literally with only five or 10 people. So that's the first time that's ever happened.

Carolynn: Yeah. Definitely. We're I feel like we're trending towards Founder Mode being almost
[\(00:01:25\)](#) easier to accomplish because you really are gonna learn that you can do a lot more with less. Yeah. Maybe that's the lesson there.

Jessica: I think Brian said last night in this new age of AI, all startups are gonna have to reinvent
[\(00:01:36\)](#) themselves. Do you think that's true?

Garry: Yeah. Definitely. I mean, we're seeing it. If anything, even the huge startups that are
[\(00:01:43\)](#) already, unicorns and decacorns, we're

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Jessica: I
[\(00:01:53\)](#)

Garry: Mean, from this conference, I feel like we heard lots of stories of, suddenly people's margins and profitability are just going up through the roof. So do you remember when Dropbox came out and then, you know, they held their prices pretty constant, but then the price of hard drives came down so much that Dropbox went from something that people said, oh, how's it ever gonna make money to suddenly, oh, yeah. It's making a lot of money, actually.

Jessica: Yes.
[\(00:02:19\)](#)

Garry: I feel like, you know, what happened for them with the price of hard drives, that's about to happen for just human like smarts. You just have AI agents. Instead of having to hire a thousand people to do some process, literally we just zap the rocks, and the rocks do it even better.

Carolynn: Zap it's the
[\(00:02:39\)](#)

Garry: Repeatable. Companies that were sort of maybe barely profitable or, you know, maybe they were taking all their money and putting it into growth. Like, suddenly they have twice or even 10 times as much money to put into growth. And so everything can happen faster. You know, the limiting reagents, are now less and less actually the people.

And, you know, when you don't have to have that many people, actually, it's less and less money also. Like, we're gonna have way fewer companies run out of money because, you know, they couldn't impress that next investor. So this is all really good news for startups.

Carolynn: In a way too, like, more money, but more clarity on how you wanna spend it, and it's not necessarily gonna be on human capital. It's sort of what I think you're saying.
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Garry:
[\(00:03:27\)](#) And then I think what we're trying to do here at YC is actually that there's not going to be some fixed number of, you know, 10 startups a year are the only ones that could possibly be valuable. You know, I think I would argue, you know, YC very actively helped turn that from ten, maybe ten or twenty years ago to, you know, a 100 today, you know, every single year. And, you know, I think that we're funding, you know, 10 or 20 of the 100 that really, really matter. But then in another ten or twenty years, don't you think that'll be a thousand companies that really matter and maybe a little money?

Jessica:
[\(00:04:01\)](#) It be.

Garry:
[\(00:04:01\)](#) Yeah. And then our hope is that we we're funding half of them.

Jessica:
[\(00:04:04\)](#) Yeah. What have been your exciting takeaways from this retreat that we've just been on?

Garry:
[\(00:04:13\)](#) I guess the most interesting thing to me is that, because all the founders are all the way in the weeds talking with all the AI labs, they're actually implementing these things Fortune 1,000 companies. I guess we just get a front row seat to see you know, all of this stuff is real. Like, out there, you open up the Wall Street Journal and you read AI, and it's very easy to say, oh, none of this is real. This is just Silicon Valley doing its thing again. And then when you come here and hear the stories of, you know, people are, you know, working their eighty hour weeks trying to build these new businesses, but they're working and they're awesome.

And then, you know, even the dynamics of what's happening in AI, like, I think that's kind of a the good news the best news I heard, I think, from this conference is actually that startups have a chance. That, There's this other view of AGI and superintelligence, artificial superintelligence coming that there's gonna be fast takeoff and suddenly nobody's gonna have any jobs or nobody can have a company or startup anymore. You know, I think that we might be entering this moment where the scaling laws are not they're they're sort of slowing down a little bit, and then that gives everyone a little bit of a break. Like, that's actually really good for startups. Yeah.

You know, people can actually rush in and create new things and establish a beachhead and, you know, sort of expand. And I think that that's a relief, actually.

Carolynn:
[\(00:05:45\)](#) Garry, did you have any Founder Mode stories from before you got to YC when you were, you know, running your own business?

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Garry:
[\(00:05:52\)](#) I mean, I guess candidly, I feel like, similar to Brian, you know, it really resonated with me that he said, oh, well, I feel like a people pleaser. And I think, you know, you knew me

Jessica:
[\(00:06:02\)](#) Yes.

Garry:
[\(00:06:02\)](#) Many years ago, and, I think you would probably say that I was a people pleaser.

Carolynn:
[\(00:06:09\)](#) And Yeah.

Garry:
[\(00:06:10\)](#) Yeah. And, I think the moment where you're, yeah. Whatever you're working on, it might fail or it might die. Know, that's when, like, a CEO is probably truly born because then you have to let people go. You have to, really make a lot of people quite upset.

Carolynn:
[\(00:06:27\)](#) Yeah. Yes.

Garry:
[\(00:06:29\)](#) And then, you know, how you can tell if you're in you know, if you've been through one of those crises is that, on the other side of it, you know, all the worries that you had were basically not valid. Like, it was actually fine. Not like, it didn't happen your worst case scenario in your head, we're gonna do all these things, everyone's gonna be so mad, and then you do it, and everyone's happier.

Carolynn:
[\(00:06:50\)](#) Happier. Exactly.

Jessica:
[\(00:06:52\)](#) Yes. Brian always says it's really hard, but everyone is happier afterward.

Garry:
[\(00:06:57\)](#) Then I think that's the path for founders too. Mean, at YC, we fund really technical people who you know, I wasn't a jock. I didn't, you know, do team sports. Like, I didn't really have a part of my brain that spent a lot of time thinking about, you know, team dynamic or, you know, how do I get people to do things per se. Yeah.

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And then at some point, you know, you make a bunch of stuff, people seem to want it, and then you're going in this direction, and, you kinda have to learn. You know, you can't do it yourself. Like, you know, that that was probably my path, actually. You know, I came up and, as a designer and an engineer, and I just wanted to make everything. You know, I didn't wanna delegate.

I didn't wanna hire people. You know? If I hired people, I would give them sort of sort of like third rate jobs. Like, oh, here's this thing that you can't possibly screw up. Like, I'm you know, I'll do it.

It's fine. I'll just, you know, stay up late or I'll sacrifice my body and my sleep.

Jessica:
[\(00:07:57\)](#)

Yeah.

Garry:
[\(00:07:57\)](#)

You know? And then you get older, and you can't do that, actually. And then actually, it's wrong. Like, I feel like my YC startup, the story was I needed to turn into that CEO. I needed to delegate and spend all my time hiring.

Because, you know and it was great that I could do all the functions, but the org and that startup needed me to stop doing all the functions and hire and manage and actually lead. Yes. And, you know, that's why my first startup, Posterous, you know, it I didn't step up, and, you know, that's why it only it sold for 20,000,000, which was amazing. Changed my life.

Jessica:
[\(00:08:38\)](#)

Yeah. Yeah.

Garry:
[\(00:08:39\)](#)

But it wasn't what we thought it could be.

Carolynn:
[\(00:08:41\)](#)

Yeah. Did you stay in the details when you were at Posterous even though you were trying to become that kind of CEO?

Garry:
[\(00:08:48\)](#)

Oh gosh. I mean, if anything, I was only in the details, and I didn't delegate at all. You know

Carolynn:
[\(00:08:54\)](#)

Extreme founder mode.

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Garry:
[\(00:08:54\)](#) Yeah. Exactly. I mean, there's a I think there's something in the middle. Right? Like, founder mode is not you're a tyrant.

Founder mode is also not, you know, I'm gonna go up into the sky and not pay attention to anything. Right. But it also wasn't what I was doing in my first YC startup, which was, you know, that was IC mode.

Jessica:
[\(00:09:14\)](#) Brian said last night, lead with empowerment and not autonomy. And I think that sort of captures the essence. You wanna be partnering with people and showing them by example what good work is and what a good product is and not but you can't say, okay. You're on your own.

Carolynn:
[\(00:09:35\)](#) Yeah. Because then you lose you just you lose control's not the right word, but then you don't know you don't know what's happening in your own company.

Garry:
[\(00:09:42\)](#) Yeah. And some of it's just accountability. Right? If you're not paying attention, you're just not gonna get the outcome you want. Right.

But the reverse is also true. Like, if everyone knows you're paying attention, then actually a lot of magic can happen for your mission.

Jessica:
[\(00:09:58\)](#) That's right. I think that's a great place to end. I love that we're doing a Founder Mode retreat. I think it's such an important topic, and thanks for coming on the Social Radars today to chat with us. Thank you, Garry.

Garry:
[\(00:10:12\)](#) Thanks, guys.

Carolynn:
[\(00:10:12\)](#) Bye, Garry. Bye.